

New Era Helium, Inc.

NU • New York Stock Exchange • Banks - Diversified • Brazil

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

12.39 USD

as of report date

TARGET PRICE

10.50 USD

12-month fundamental

IMPLIED UPSIDE

-15.3%

vs. current price

MARKET CAP

USD 12 m

shares × price

ENTERPRISE VALUE

USD 13 m

mcap + net debt

P/E 2025E

-12.2×

EV/EBITDA 2025E

-20.9×

FCF YIELD 2025E

43.6%

DIVIDEND YIELD
2025E

—

NET DEBT / EBITDA
2025E

-1.3×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 10.50 USD 12-month fundamental	CURRENT PRICE 12.39 USD as of report date	IMPLIED UPSIDE -15.3% vs. current price
MARKET CAP USD 12 m shares × price	ENTERPRISE VALUE USD 13 m mcap + net debt	P/E · EV/EBITDA 2025E -12.2x · -20.9x forward forecast basis	FCF · DIV YIELD 2025E 43.6% · —



01 **Severe transition to zero revenue**

The company's transition to zero revenue creates an annualized cash burn of \$1 million through 2026, steadily draining cash and capping any fundamental valuation upside.

\$1M burn

02 **Urgent asset sale required**

To avoid near-term insolvency, the company must execute a distressed asset sale of \$5 million to cover working capital. A current ratio of just 0.65x leaves operations severely constrained.

0.65x ratio

03 **Fatal capital structure overhang**

A fatal capital structure overhang threatens the \$13 million enterprise value: a potential \$50 million secured debt issuance would instantly subordinate common shareholders and wipe out all equity upside.

\$50M debt

THESIS BREAKER

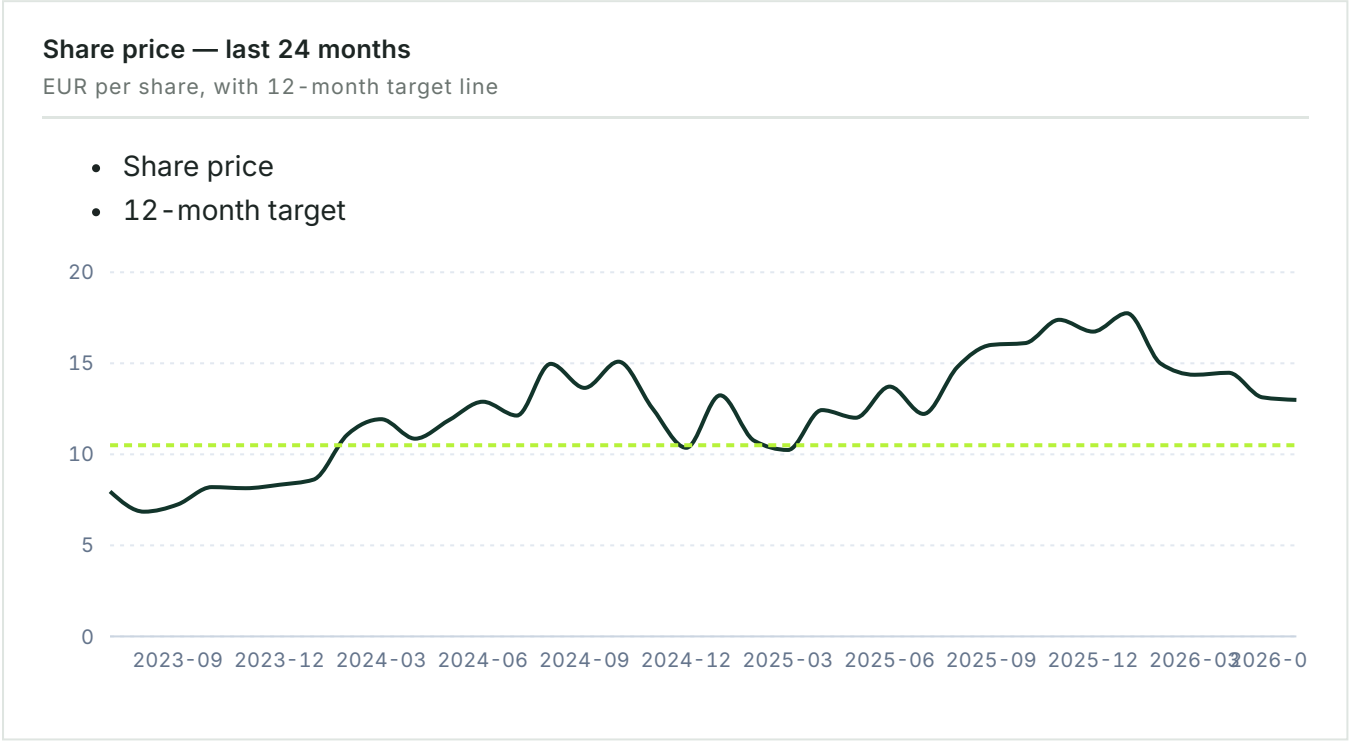
The bear thesis would break if management secures the ERCOT interconnection and sells helium assets at premium valuations without taking on the \$50 million senior secured debt.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.



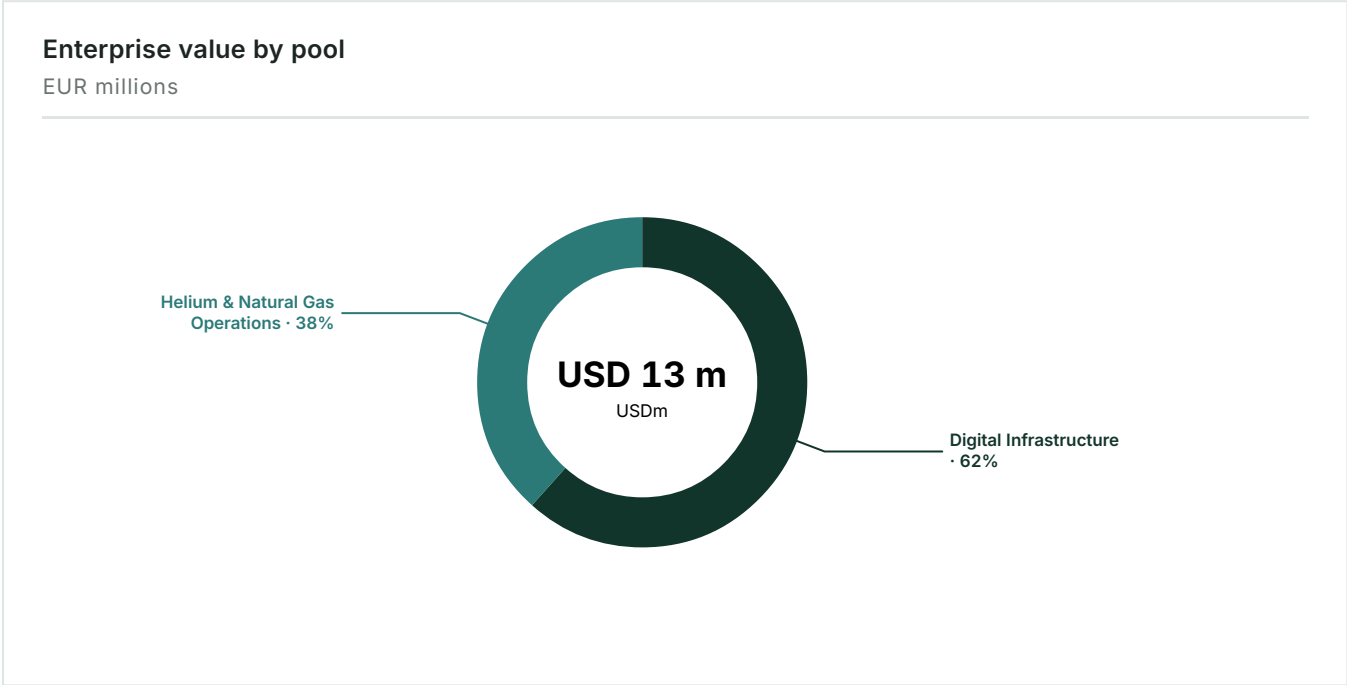
CURRENT PRICE 12.39 USD 2 June 2026	TARGET PRICE 10.50 USD 12-month	IMPLIED UPSIDE -15.3% vs. current	52-WEEK HIGH 17.75 USD past 12m
52-WEEK LOW 12.22 USD past 12m	1-YEAR CHANGE -5.3% price only	3-YEAR CHANGE +63.2% price only	REPORT DATE 2 June 2026

VALUE BREAKDOWN · PART 1

Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.



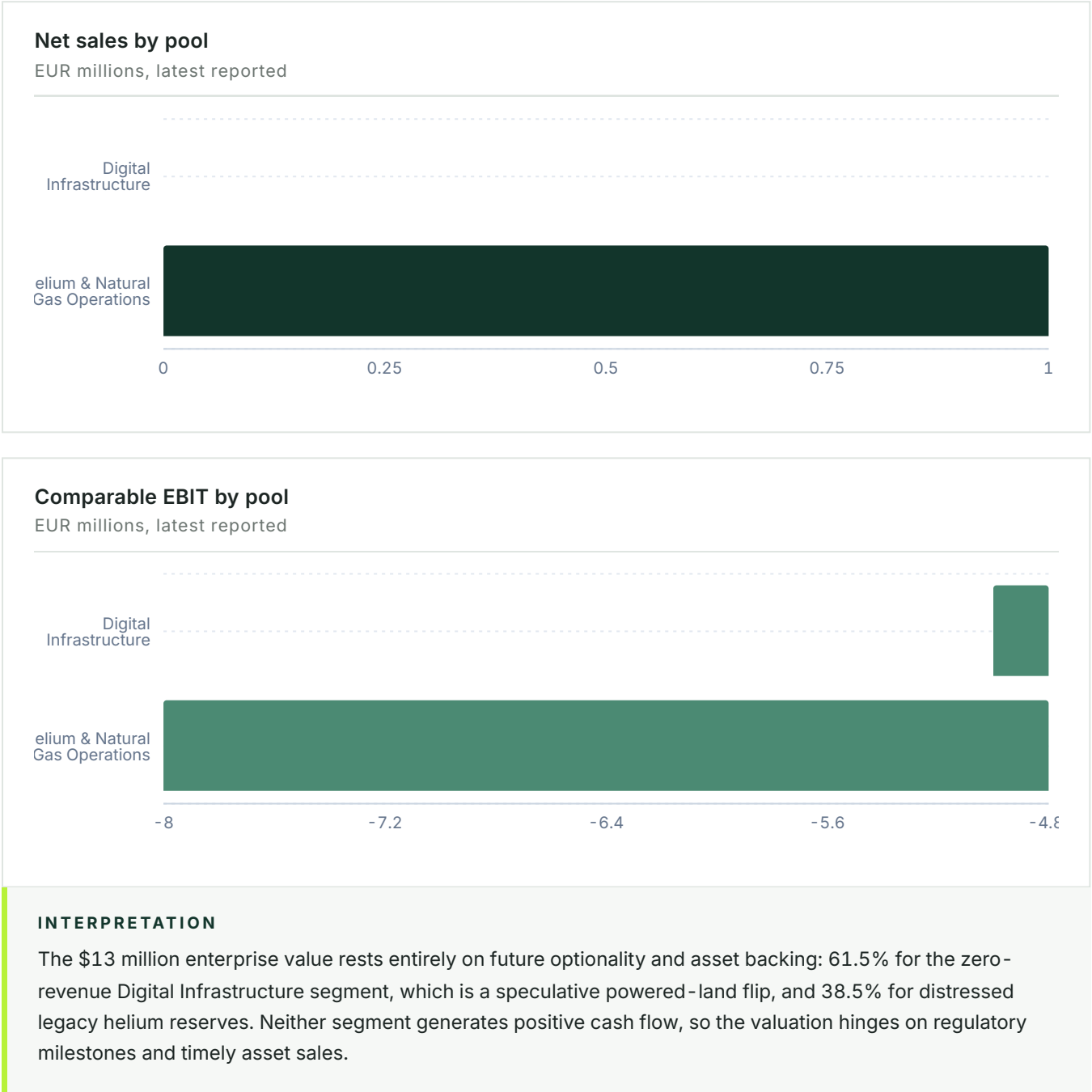
SEGMENT ECONOMICS							
	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Digital Infrastructure	0	0.0%	-5	38.5%	8	61.5%	Emerging option
Helium & Natural Gas Operations	1	100.0%	-8	61.5%	5	38.5%	Asset-backed

VALUE BREAKDOWN · PART 2

05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.



RECOMMENDATION

06

Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

New Era Helium trades at \$12.39 per share. We reiterate our SELL rating and \$10.50 price target, implying roughly 15% downside over the next 12 months.

New Era Energy & Digital's \$13 million enterprise value functions as a binary option on real estate entitlement and asset liquidation. Forward revenues project to \$0 million against an annualized EBITDA burn of -\$1 million through 2026. The re-rating driver is whether its \$12 million equity capitalization can fund the regulatory queue to monetize 250 megawatts of capacity and divest 1.5 billion cubic feet of helium before a 0.65x current ratio forces insolvency.

Current valuation disregards a fatal capital-structure overhang. In an orderly base case, selling land rights for \$15 million and helium leases for \$5 million produces \$19 million in equity upside. But the thesis fails if management closes the pending JV buyout in Q2 2026 with a \$50 million senior secured note. Injecting a \$50 million claim against a \$13 million enterprise value immediately subordinates common equity, wiping it to \$0.

SELL

TARGET PRICE

10.50 USD

CURRENT PRICE

12.39 USD

IMPLIED UPSIDE

-15.3%

12-MONTH VIEW

The company faces imminent liquidity constraints and a fatal debt overhang as it transitions to a pre-revenue digital infrastructure model.

MAIN DRIVER

Approval of ERCOT interconnection and divestment of legacy helium leases.

MAIN RISK

A \$50 million secured debt injection wiping out all existing equity.



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THESIS BREAKER

The bear thesis would break if management secures the ERCOT interconnection and sells helium assets at premium valuations without taking on the \$50 million senior secured debt.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

The company is a distressed, pre-revenue holding entity, not a going-concern operating business. Its minimal economic output — the \$1 million in legacy E&P revenue — is a runoff artifact. The -\$12 million 2024 EBITDA is distorted by one-off de-SPAC costs, restructuring fees, and early-stage development spending, so it does not provide a reliable baseline for recurring operating cash flow.

Enterprise value rests almost entirely on future optionality and raw asset backing. The zero-revenue Digital Infrastructure segment commands 61.5% of EV, or \$8 million, reflecting a deeply discounted option on the company's ability to secure permits and grid interconnection for a planned 250-megawatt data center campus in Texas. The legacy Helium & Natural Gas Operations receive 38.5%, or \$5 million, a distressed residual for proven resources that lost their midstream processing pathway.

Bridging the \$13 million enterprise value to the \$12 million equity market cap subtracts \$1 million in net debt. But this capitalization masks the off-balance-sheet commitments management is orchestrating. The company recently announced a binding agreement to buy out its data center JV partner for \$70 million in mixed consideration, including a \$50 million senior secured promissory note.

ANALYTICAL ANCHOR

Enterprise value hinges entirely on future optionality and raw asset liquidation, not on current operating economics.

08

Digital Infrastructure

Pool deep dive — emerging_option.

This segment generates \$0 revenue and an estimated -\$5 million in development-stage EBIT. It receives \$8 million in allocated EV, 61.5% of group EV. The allocation uses a mixed-method estimate of early-stage land development option value. Confidence in the exact allocation is low because it hinges on the binary permitting outcome, not cash flow multiples.

The market values this segment purely as a real estate and regulatory option. After rebranding to New Era Energy & Digital, the company's main focus is the Texas Critical Data Centers (TCDC) project—a planned AI and high-performance computing campus in Ector County, Texas. Valuation is not based on operating a finished data center, because the company lacks the billions needed to build one.

Demand for AI training clusters that need 100 megawatts to 1 gigawatt of contiguous power is acute and goes unfulfilled by current grid infrastructure. ERCOT's grid is heavily congested, causing multi-year queues for large-load interconnections. As a result, sites that can offer "behind-the-meter" power generation—using stranded natural gas to generate electricity on-site, independent of the broader grid—command a massive premium.

New Era's competitive position is highly vulnerable. It competes against multi-billion-dollar developers backed by sovereign wealth and tier-one private equity, and its only competitive lever is regulatory speed. To win, New Era must prove it can navigate the ERCOT Large Load Interconnection application faster than peers, converting raw dirt into "powered land."

DIGITAL INFRASTRUCTURE
FACT SHEET

EMERGING_OPTION

TARGET CAPACITY
250 MW

TARGET MONETIZATION
\$100,000 / MW

GROSS ASSET VALUE
\$25 million

IMPLIED PROBABILITY
~32%

08

Helium & Natural Gas Operations

Pool deep dive — asset_backed_value_pool.

The legacy segment generates roughly \$1 million in residual revenue and deeply negative EBITDA of -\$7 million. It receives \$5 million in enterprise value, 38.5% of group EV. The allocation relies on a fallback residual asset valuation, with low confidence given the lack of transparent divestiture processes.

The market treats this segment as a stranded, distressed asset. The company holds 137,000 acres in the Pecos Slope Field, New Mexico, with roughly 1.5 Bcf of proved and probable helium reserves. Originally the core business, it planned to process helium through a proprietary facility. After the initial SPAC funding collapsed, the Pecos Slope Plant was not built.

Helium is a structurally short, critical industrial gas used in semiconductor manufacturing, aerospace, and medical imaging. Wholesale refined helium often trades above \$300 per Mcf. However, helium is a byproduct of natural gas processing. Without midstream infrastructure to separate helium, NGLs, and methane, the raw gas stream cannot be sold to Tier-1 buyers.

Lacking processing capacity, the company's unit economics depend on the in-ground transaction value of the reserves. Although processed helium is highly valuable, undeveloped reserves that require heavy capex trade at steep discounts. Distressed, in-ground helium typically transacts at \$2.00 to \$5.00 per Mcf, compensating the buyer for extraction risk and plant construction costs.

HELIUM & NATURAL GAS
OPERATIONS FACT SHEET

ASSET_BACKED_VALUE_POOL

PROVED & PROBABLE RESERVES
1.5 Bcf

DISTRESSED IN-GROUND VALUE
\$3.33 per Mcf

TARGET GROSS ASSET VALUE
\$5 million

IMPLIED PROBABILITY
100%

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

The forecast is mechanically driven by the shutdown of legacy revenue. The 2024 actuals show a business that collapsed under a failed SPAC, producing an EBITDA margin of -2222.7% as one-off advisory, legal, and restructuring costs swamped negligible revenue.

For 2025 and 2026, the bridge depends solely on future optionality, not current operations. The projected \$0 revenue acknowledges that the Digital Infrastructure segment will stay in permitting and engineering for several years. The EBITDA normalization to -\$1 million implies an extreme austerity budget.

The bridge is structurally fragile. At year-end 2024, the company had a current ratio of 0.65x (\$4 million in current assets against \$7 million in current liabilities). For the zero-EBITDA forecast to hold, management must execute asset sales without error to fund overhead, because the company generates no organic cash flow to support even a skeletal staff.

BRIDGE MECHANICS

The financial forecasts mechanically assume a complete shutdown of legacy revenue and extreme corporate austerity.

The enterprise value allocation starkly illustrates the disconnect between current economics and market pricing. Under this framework, exactly 0% of the enterprise value is supported by current recurring cash flows or earnings. 100% of the \$13 million enterprise value depends on future optionality (the TCDC data center land development) and asset realization (the distressed sale of the helium reserves).

The equity bridge is especially fragile on the debt side. Currently, subtracting \$1 million in reported net debt leaves a \$12 million residual equity value. But the valuation math becomes impossible if management finalizes the binding agreement to acquire Sharon AI's 50% stake in TCDC.

The proposed transaction includes a \$50 million senior secured promissory note. Introducing a \$50 million claim against a \$13 million enterprise value would push residual equity below zero immediately. The market's refusal to price in the \$70 million theoretical transaction suggests investors see the structure as toxic or un-fundable.

The valuation only works if the company acts as an aggressive incubator: minimizing debt, securing ERCOT interconnection on a shoestring, and quickly flipping powered land to a hyperscaler. The valuation collapses if management tries to build the physical assets itself, triggering a cascade of dilutive equity and secured debt that would wipe out common shareholders.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

The scenarios test enterprise value elasticity against binary outcomes: regulatory approvals and asset sales. They differ only in milestone execution, not marginal operational improvements.

The downside scenario is liquidity-driven. If the company cannot fund the engineering and legal fees to advance the ERCOT application, the TCDC asset turns into stranded West Texas dirt, and helium leases likely default to creditors. Then enterprise value falls to the raw salvage value of the land, \$3 million, which debt and restructuring claims fully consume.

The upside scenario requires flawless execution. The company must secure the minor source air permit, gain Large Load Interconnection approval, and sell the entitled rights for \$35 million (about \$140,000 per megawatt). Additionally, helium reserves would be monetized at \$10 million, effectively as a behind-the-meter fuel source for the data center.

BOTTOM LINE

The core debate on New Era Energy & Digital is whether the company is a viable, nimble incubator for a high-value data center land flip, or merely a distressed vehicle delaying an inevitable restructuring. Valuation rests entirely on future optionality and asset sales, with no contribution from current operations.

FINANCIAL BRIDGE · PART 1

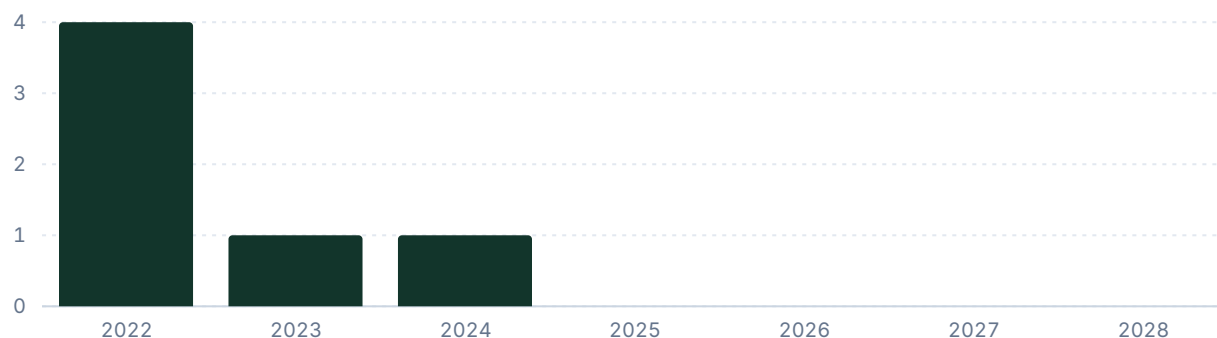
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Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

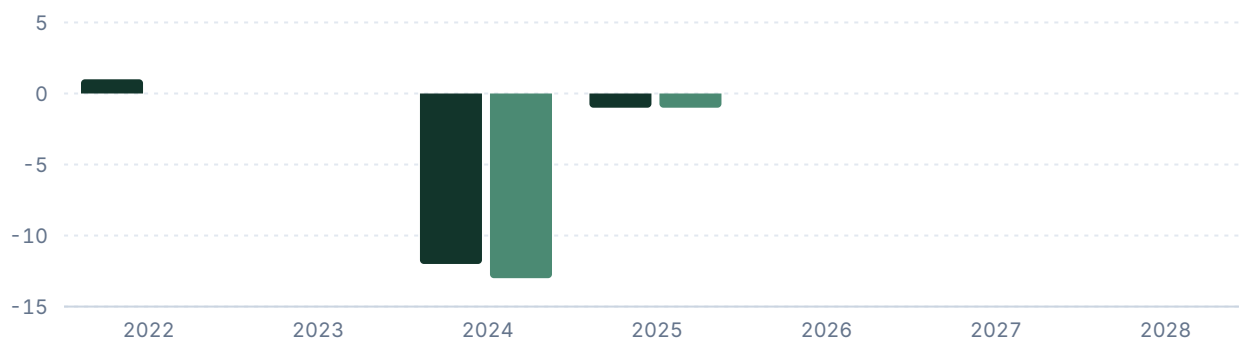
EUR millions



EBITDA & EBIT

EUR millions

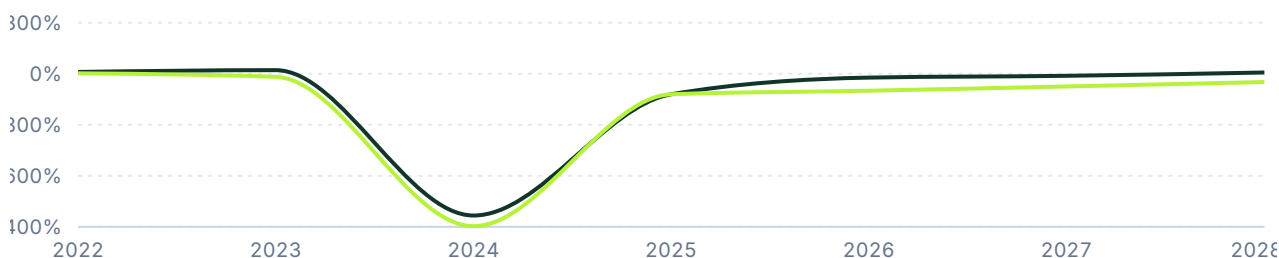
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

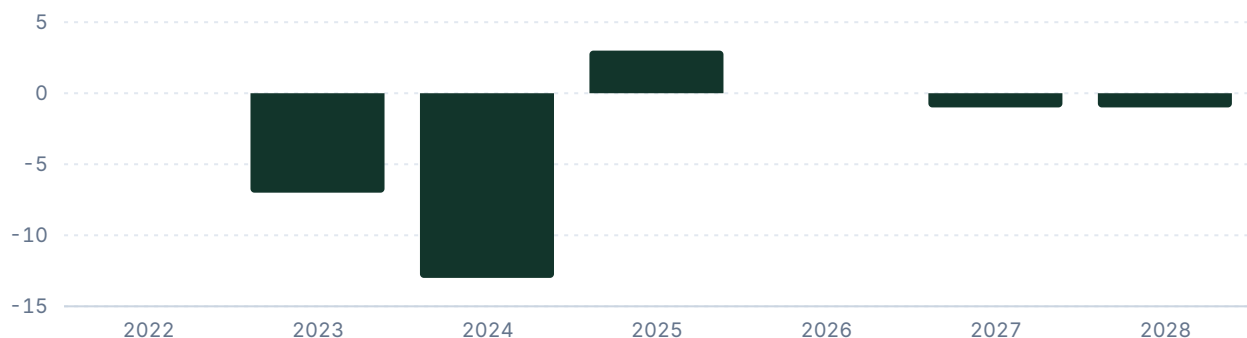
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

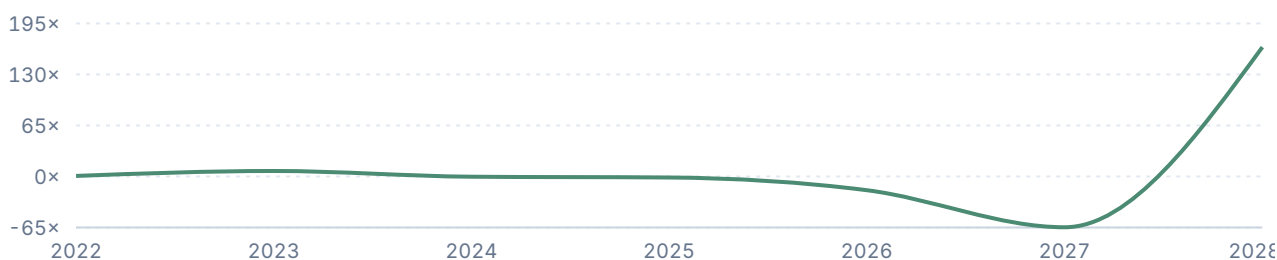
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2024	2025	2026	2027	2028
Net Sales	1	0	0	0	0
EBITDA	-12	-1	-0	-0	0
Comparable EBIT	-13	-1	-0	-0	-0
Net Earnings	-15	-0	-1	-1	-1
EPS (USD)	-1.1	-0	-0.1	-0.1	-0.1
DPS (USD)	0	0	0	0	0

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES		2025
P/E		-12.2×
EV/EBITDA		-20.9×
EV/EBIT		-20.9×
P/FCF		2.3×
P/BV		-4.7×
Dividend Yield		—
Net Debt / EBITDA		-1.3×

EBITDA × EV/EBITDA sensitivity						
EBITDA EV / Target Asset Multiple →	0.5×	0.8×	1.0×	1.3×	1.5×	
-20% USD -0m	USD -0m USD -0.10 / sh	USD -0m USD -0.10 / sh	USD -0m USD -0.10 / sh	USD -0m USD -0.10 / sh	USD -0m USD -0.10 / sh	
-10% USD -1m	USD -0m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	
Base USD -1m	USD -0m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	
+10% USD -1m	USD -0m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	
+20% USD -1m	USD -0m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	USD -1m USD -0.20 / sh	

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SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	0	1	0.0%	3.0×	3	-0	USD -0.02	-100.1%
Base	0	1	0.0%	20.0×	20	17	USD 0.64	-94.8%
Bull	0	1	0.0%	45.0×	45	42	USD 1.60	-87.1%
KEY CONDITIONS Scenarios diverge on milestone execution—ERCOT interconnection approval and the sale price of legacy helium leases—not on marginal operating efficiency gains.								
THESIS BREAKER Closing the \$50 million Sharon AI senior note transaction would instantly wipe out all residual equity value.								

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
ERCOT Interconnection Approval	MEDIUM-TERM	Digital Infrastructure	ERCOT public queue update or SEC 8-K	Validates TCDC asset value
Sharon AI Buyout Resolution	NEAR-TERM	Digital Infrastructure	SEC 8-K filing	Determines \$50M debt load overhang
Divestment of Pecos Slope Acreage	MEDIUM-TERM	Helium & Natural Gas Operations	Company press release or Q-filing	Non-dilutive liquidity bridge
READ - THROUGH The thesis will be proved or disproved by visible public filings over the next 12 months. The most critical catalyst is the Sharon AI buyout resolution. A headline that reads "New Era Secures 100% of Data Center Campus" might look bullish, but if funded by the \$50 million senior secured note, it creates a fatal debt overhang. Meanwhile, ERCOT interconnection approval is the genuine value-creation catalyst; without it, the land cannot be flipped to a hyperscaler.				

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Liquidity / Insolvency	Company Wide	0.65x current ratio suggests imminent cash shortfall without immediate asset sale.	Delayed Pecos Slope asset sale	HIGH	STRUCTURAL
Debt Allocation Overhang	Digital Infrastructure	\$50M promissory note from Sharon AI deal would wipe out equity.	8 - K filing confirming deal closure via debt	HIGH	THESIS-BREAK
Regulatory Failure	Digital Infrastructure	ERCOT or air permit denial stalls the TCDC pivot.	Permit rejection notices	HIGH	STRUCTURAL
Operational Integration / Separation Costs	Helium & Natural Gas Operations	Perceived tax leakage or unknown liabilities deter acquirers.	Lack of credible bids for Pecos Slope	MEDIUM	MANAGEABLE

READ - THROUGH

The most thesis-breaking risk is the capital structure impact of the TCDC JV buyout. The market currently values the enterprise at \$13 million, implicitly dismissing the \$50 million note. If management formally closes the transaction and puts that debt on the balance sheet, the claim will far exceed enterprise value. Additionally, operational integration risk threatens the Helium segment. The value of the 1.5 Bcf of reserves depends on an acquirer cleanly separating the acreage without assuming unknown de-SPAC liabilities.

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2022	2023	2024	2025	2026	2027
Net Sales	4	1	1	0	0	0
EBITDA	1	0	-12	-1	-0	-0
EBITDA margin	28.4%	56.6%	-2222.7%	-321.4%	-60.3%	-31.8%
Depreciation	-1	-1	-1	—	-0	-0
Operating Profit (EBIT)	0	-0	-13	-1	-0	-0
EBIT margin	6.7%	-47.6%	-2389.9%	-321.4%	-265.6%	-199.2%
Net financial items	-0	-0	-0	—	-0	-0
Pre-tax Profit	0	-1	-13	-1	-1	-1
Net Earnings	0	-2	-15	-0	-1	-1
PER SHARE						
EPS	0	-0.1	-1.1	-0	-0.1	-0.1
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2022	2023	2024	2025	2026	2027
ASSETS						
Tangible assets	1	5	5	2	1	1
Intangibles	—	—	—	—	—	—
Goodwill	—	—	—	—	—	—
Non-current assets	2	5	5	2	1	1
Inventories	—	—	—	—	—	—
Receivables	2	2	3	3	2	2
Cash & equivalents	0	0	1	0	0	0
Current assets	2	2	4	3	3	3
Total Assets	5	7	9	4	4	4
EQUITY & LIABILITIES						
Equity	-4	1	-2	-3	-4	-5
Long-term debt	—	2	2	1	1	1
Short-term debt	1	0	2	1	1	1
Long-term liabilities	5	4	5	3	3	4
Current liabilities	3	3	7	4	4	4
Total liabilities & equity	5	7	9	4	4	4
CAPITAL STRUCTURE & RATIOS						
Net debt	1	2	3	1	1	2
Capital invested	-3	3	1	-2	-2	-2
Equity ratio	-78.2%	7.2%	-22.3%	-56.6%	-92.6%	-127.9%
Gearing	-23.1%	457.0%	-165.8%	-32.0%	-39.4%	-50.4%
Net debt / FRITDA	0.7x	7.0x	-0.3x	-1.3x	-17.5x	-64.7x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2022	2023	2024	2025	2026	2027
OPERATIONS						
CF from operations	1	-0	-13	-1	-1	-1
Operating cash flow	1	-1	-12	-1	-1	-1
Change in working capital	0	-1	-1	0	0	0
INVESTING & FREE CASH						
Gross capex	1	3	1	-3	-0	0
Capex (ex. M&A)	-1	-3	-1	3	0	-0
Free Operating Cash Flow	0	-7	-13	3	-0	-1
Free cash flow to firm	0	-7	-13	3	-0	-1
FINANCING						
CF from financing	-0	4	15	-3	1	1
Dividends paid	—	—	—	—	—	—
Net change in cash	-0	1	0	-1	-0	-0

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/24	Q2/24	Q3/24	Q4/24
Net Sales	0	0	0	0
EBITDA	-1	-1	-1	-8
EBITDA margin	-522.8%	-6152.4%	-535.3%	-5734.8%
Comparable EBIT	-1	-2	-1	-9
EBIT margin	-665.6%	-7377.2%	-637.5%	-5868.1%
Net Earnings	-1	-2	-1	-10
EPS	-0.1	-0.2	-0.1	-0.8

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SOURCES & DISCLAIMER
Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Current Quote (\$12.39)	12.39	MARKET DATA	Cover & Valuation Reality Check
2024 Actual Revenue (\$1M)	1	FINANCIAL SNAPSHOT	Cross-Pool Financial Bridge
Enterprise Value Allocation	13	COMPANY VALUE MAP	Executive Economic Map
2025 Forecast EBITDA	-1	ANALYST-GENERATED ESTIMATE	Financial Bridge
Target Price (\$10.50)	10.50	MODEL OUTPUT	Recommendation
DISCLAIMER Information is based on company disclosures, ERCOT regulatory queues, and internal estimates. Forward-looking projections involve significant uncertainty regarding regulatory outcomes and capital structure events. © 2026 New Era Helium, Inc. research. For institutional use only.			